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Economic Effects of Splitting Cities When Redistricting

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This thesis tests whether splitting a city across multiple congressional districts changes its fiscal receipts. When a city straddles two districts, each representative bears the full cost of advocacy while capturing only a fraction of the electoral return, predicting lower fiscal transfers; yet the city also benefits from two Congressional votes, predicting higher fiscal transfers. I tested this hypothesis using a national panel of municipalities spanning 1987 to 2022, drawing on seven waves of Census of Governments financial data linked to congressional district boundaries, 1990 demographic controls, Cook Partisan Political scores, and nearly 100 data sources. The geographic data exists in fragments across state and federal agencies with individualized formatting and projection systems, so this analysis required data consolidation and spatial computation at a scale that only became practical with newer versions of Python and ArcGIS. The empirical strategy is a two-way fixed effects event study that exploits decennial redistricting as an exogenous source of variation in municipal split status, comparing localities that transition between unified and split configurations against localities whose representational status remains stable. Split municipalities receive between 11% and 19% fewer federal intergovernmental transfers per capita than their unified counterparts across five Census of Governments waves spanning 1987 to 2017. Local tax revenue is unaffected, consistent with the mechanism operating through the federal representation channel. Interaction effects were observed with respect to city size and partisan alignment. This dataset may serve as a basis for further economic research into the fiscal effects of redistricting and its political implications. JEL Classification: H77, D72, R50

Keywords: Congressional redistricting, gerrymandering, municipal finance, partisan alignment